Economics - Graduate Level Assessment 10 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. How does an increasing national debt impact the market for U.S. dollars and the value of the dollar with respect to other currencies? MARKET FOR THE DOLLAR VALUE OF THE DOLLAR
   (a) Increased supply Depreciating
   (b) Decreased supply Appreciating
   (c) No change in supply Appreciating
   (d) Increased demand Depreciating
   (e) Decreased demand Appreciating
2. Which of the following would NOT shift the aggregate demand curve?
   (a) A change in spending by state governments.
   (b) A change in the inflation rate.
   (c) A change in technology.
   (d) A change in consumer confidence.
   (e) A change in foreign trade policies.
3. If Real GDP = $200 billion and the price index = 200 Nominal GDP is
   (a) $300 billion
   (b) $800 billion
   (c) $4 billion
   (d) $600 billion
   (e) $200 billion
4. The concentration ratio for a monopoly is
   (a) 50
   (b) 5
   (c) 10
   (d) 90
   (e) 15
5. What is meant by the term "normal goods"?
   (a) Normal goods are those whose demand is independent of income.

(b) Normal goods are those whose demand curve shifts downward with an increase in income.

(c) Normal goods are those whose consumption is deemed socially unacceptable as income rises.

(d) Normal goods are those whose demand curve shifts upward with a decrease in income.

(e) Normal goods are those whose demand curve varies directly with income.

True / False (10 marks)

Answer True or False

6. True or False: The residual from a standard regression model is defined as the square of the difference between the actual value, y, and the fitted value, y-hat.

7. True or False: In the short run, a perfectly competitive firm may operate at a loss if its price falls below average variable cost.

8. True or False: A negative current account balance necessarily leads to a decrease in a country's interest rates.

9. True or False: The formula (P-MC)/MC represents a firm's monopoly pricing power, where a larger value indicates increased market control.

10. True or False: A music concert ticket qualifies as capital because it can generate revenue for the artist and venue.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the implications of an economy experiencing rising real GDP alongside falling prices, and analyze how technological advancements may contribute to this phenomenon.

12. Discuss the implications of a reserve ratio of 0.1 on a bank's lending capacity, using a $200 deposit as a basis for your analysis. How does this affect the money supply?

End of Paper